

Micron Technology, Inc.

MU NASDAQ

Buy	\$993.14 ▲ 3.51%	12M Price Target \$1150.00	52-Week Range \$103.38 – \$1255.00	Market Cap N/A
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MU: HBM Demand + CHIPS Act Tailwind = Breakout

WHAT HAPPENED

- MU ripped ~17% over 5 sessions and is punching through \$990 on shrinking volume today (13.7M vs 60M+ last week) — that's classic "buyers in control, sellers exhausted" price action. No news, no filing, so this is momentum + positioning, not a fundamental catalyst.
- Options flow is loud: unusual call buying at the \$990 and \$995 strikes with 3-5x normal open interest. Someone is pressing the bet that MU keeps grinding higher into July expiration — but there's also a big \$1000 put block, so smart money is hedging the round-number level.

WHY IT MATTERS

This move isn't happening in a vacuum — tech ETFs were actually DOWN today (-0.53%), which means MU is running on stock-specific fuel, not a broad tech tape. That tells me the market is pricing in the HBM (high-bandwidth memory, the chips that sit next to Nvidia GPUs) supply squeeze getting worse, not better, into the back half of the year. With the stock at 77% of its 52-week range and near all-time highs, the next leg needs a fundamental catalyst — likely the fiscal Q4 earnings print in late September, where guidance for calendar 2027 HBM pricing will be the whole ballgame. Watch for: any headline about Samsung finally passing Nvidia's HBM3E qualification — that's the single biggest risk to MU's pricing power right now.

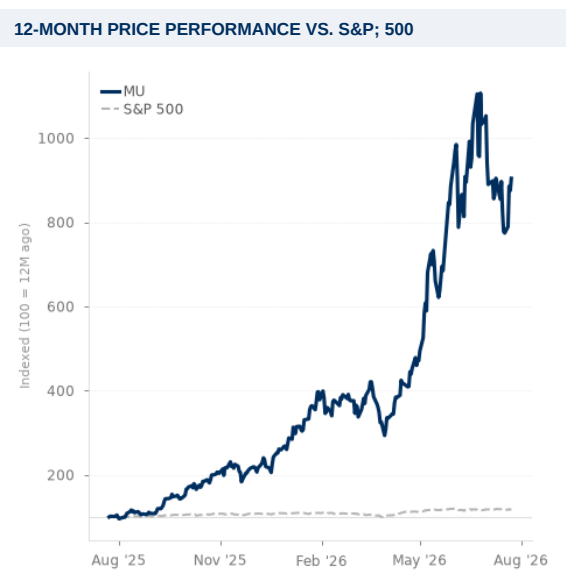
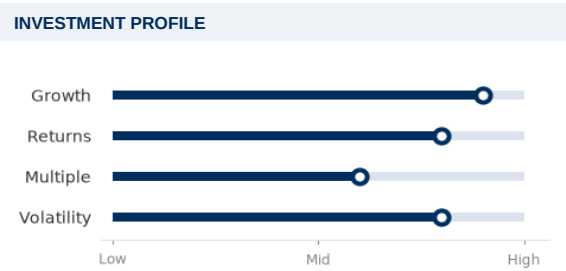
POLICY & POLITICAL WATCH

Micron is arguably the biggest single beneficiary of the CHIPS Act — they've been awarded roughly \$6.1B in direct grants for their Idaho and New York fabs, plus access to the 25% investment tax credit. The Trump administration has been publicly ambivalent about CHIPS Act funding but has NOT clawed anything back from Micron specifically, and the recent push for "reshoring critical semiconductors" actually reinforces the political case. The wildcard: export controls on advanced memory to China are expected to tighten further this fall — that could cost Micron ~10-12% of revenue short term, but simultaneously kneecaps their Chinese competitor CXMT, which is a net long-term positive.

IS IT EXPENSIVE?

At ~\$993 and roughly 79x trailing earnings, MU looks expensive on the surface — but forward earnings tell a different story. Investors are paying about 15-16x next year's expected earnings, which is reasonable for a company growing revenue 40%+ with HBM margins expanding. The memory business is cyclical, so the real question isn't "is it cheap" — it's "how long does this up-cycle last." If HBM demand runs through 2027 as hyperscalers keep building out AI data centers, today's price is fair. If the cycle rolls over in six months, this is a trap.

Key Data	
Price (USD)	\$993.14
12M Price Target	\$1150.00
Upside / (Downside)	+15.8%
Market Cap	N/A
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$58,000M
FY2026E EPS	\$12.50
FY2027E EPS	\$16.80
Fwd P/E	79.5x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1100.00	\$1020.00	\$920.00
6 Months	\$1250.00	\$1100.00	\$850.00
1 Year	\$1400.00	\$1150.00	\$800.00
2 Years	\$1800.00	\$1350.00	\$700.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$4000.00	\$2200.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5.8% week) — likely tied to summer demand + geopolitical premium. Industrials also strong, which historically correlates with reshoring/CHIPS Act capex spending flowing through the economy.

COOLING OFF: Broad tech was actually red today despite MU ripping — that's a tell that the AI trade is narrowing to a few winners (memory, GPUs) rather than lifting all boats. Healthcare weak on the week too.

ROTATION WATCH: Money is concentrating in AI infrastructure names while software and consumer tech get sold. That's a bullish setup for MU specifically but bearish for the broader Nasdaq if it continues.

RELATED PLAY: If you believe the HBM story, look at the equipment makers that supply Micron's fabs — Applied Materials (AMAT) and Lam Research (LRCX) get paid whether Micron or Samsung wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the demand engine — every dollar of Nvidia GPU revenue pulls ~\$0.15-0.20 of HBM revenue with it.
- AVGO (Broadcom): Custom AI chip wins with hyperscalers, another HBM demand pull.

MU CONTEXT: MU is leading its memory peer group and even outpacing some AI infrastructure names on a 5-day basis. When a stock leads its group into all-time highs on declining volume, it usually means institutions are still accumulating quietly. That's a "hold and add on dips" tape, not a "chase" tape.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$920-960 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse, loss of NVDA qualification, or China retaliation cutting off 25%+ of revenue

Hedging: Small SOXX put position or pair against a weaker DRAM peer